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FOR YEARS, IT services companies followed a simple math: win a deal in the US or Europe, ship work to India, add more people, bill more hours. Their scale, skill and manpower turned the country into the world's largest back office. The industry they shaped ballooned to around \$300 billion, employing six million and transforming Bengaluru, Hyderabad and Gurugram into global IT services hubs. That story may be facing its biggest risk yet.

Ask Anthropic CEO Dario Amodei. "I think...I don't know...we might be six to 12 months from when the model is doing most, maybe all of what SWEs (software engineers) do, end to end," he said at the just-concluded World Economic Forum (WEF).

'The model' is short for generative AI and agentic systems. When code can be produced, tested, documented and even operated by machines, the linear growth of revenue and headcount can no longer be taken for granted.

The signals are visible. Infosys CEO Salil Parekh said at the post earnings conference in January that the company has 500+ AI agents and is doing AI work with 90% of its top 200 clients. This 'digital labour' is now increasingly running the show and could turn the outsourcing model on its head.

And the new labour codes, which increase statu-

tory obligations by linking benefits more tightly to wages, have landed as one-time charges (TCS, Infosys, HCLTech and Wipro together took a ₹5,000 crore hit in the third quarter of FY26). In an industry where people costs are 60–70% of the P&L, such charges make automation more attractive.

Put together AI's ability to write code, clients squeezing budgets, rising labour costs, tariff headwinds, challenging geopolitics and difficulties of getting a US visa and you get a sector that's still huge and relevant but no longer guaranteed to grow the way it used to. The bigger question: can it change its ways and ride the AI wave instead of fighting it?

OUTSOURCING CODE MORPHS

American investment bank Jefferies said in a January report that "one area of AI vulnerability in India is the IT services sector, where revenue growth of listed IT companies slowed to 4% in FY25 and 1.6% in the second quarter of FY26." The BSE IT index is at 23.7x one-year forward PE, from 31x in December 2024.

Is it all gloom and doom? R. Ganesan, Senior Vice President & Head-Corporate, L&T Construction, explains. "Traditional IT began with functional modules—banking, trading, hospital systems—coded and maintained across decades, across languages, and embedded deep inside organisations. Now AI can write code. But validation, user-acceptance testing, functional verification, deployment, those remain controlled by experts," he says. Ganesan, who also oversees the group's technology & AI initiatives, adds, "The production support for legacy systems doesn't vanish because a new layer of AI arrives; it gets run more efficiently on top of solutions which have been created."

AI automation reduces the human effort required for a task. So, could the work be done in California or Luxembourg or anywhere? "Labour arbitrage alone won't be the headline anymore, but India's advantage doesn't evaporate. It changes. Data engineering, architecture, governance, cybersecurity—these are 'premium jobs' too, and offshoring can persist because India can supply experts at scale, at a lower cost than Western markets,

"Y2K WAS A TECHNOLOGY PROBLEM. AI IS A FOUNDATIONAL SHIFT, AKIN TO RAILWAYS, ELECTRICITY, AND REQUIRES COMPANIES TO REIMAGINE PROCESSES"